

Instructor Notes: Introduction to Global Shifts and Northern British Columbia

Economics of Global Shifts: ECON 220

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Overview of the Lecture

Lecture Focus:

- ▶ Understanding the concept of global economic shifts.
- ▶ Analyzing the impact of global shifts on Northern British Columbia (NBC).
- ▶ Discussing how NBC can leverage its resources and address local/global challenges.

Instructor's Goal:

- ▶ Explain the causes and effects of global economic shifts.
- ▶ Link global shifts to local realities in NBC.
- ▶ Provide examples of how NBC can respond to global economic trends.

Global Economic Shifts

Definition:

- ▶ Global economic shifts are significant and sustained changes in the global economic environment that affect production, trade, labor markets, and social structures.
- ▶ These shifts can arise from technological advancements, policy changes, environmental factors, and demographic trends.

Instructor's Example:

- ▶ The Industrial Revolution: Shift from agrarian economies to industrial economies had lasting impacts on global trade patterns and labor markets.

Why Global Shifts Matter

- ▶ Impact global trade flows and international relations.
- ▶ Affect national economies, industries, and employment sectors.
- ▶ Influence regional economies by changing demand for resources, altering labor markets, and influencing government policies.

Instructor's Example:

- ▶ 2008 Financial Crisis: Disrupted global markets, leading to changes in housing prices, unemployment, and trade flows.

Drivers of Global Economic Shifts

- ▶ **Technological Advancements:** Automation, AI, IoT, 3D printing.
- ▶ **Trade and Economic Integration:** Trade agreements (e.g., NAFTA, CPTPP).
- ▶ **Environmental and Climate Changes:** Sustainability goals, clean technology.
- ▶ **Demographic Changes:** Aging populations, urbanization.
- ▶ **Geopolitical Dynamics:** Trade wars, economic sanctions.

Instructor's Goal:

- ▶ Explain each driver with relevant examples.
- ▶ Discuss how these drivers impact NBC's economy, particularly in the context of natural resource extraction.

Technological Advancements

Impact of Technology on NBC:

- ▶ Automation in forestry can improve efficiency but displace jobs in rural areas.
- ▶ AI and IoT could lead to new industries such as tech and innovation hubs.

Instructor's Example:

- ▶ Automated machinery in forestry increases productivity but may reduce local job opportunities.
- ▶ How does automation impact labor markets in resource-dependent regions like NBC?

Trade and Economic Integration

- ▶ Trade agreements such as CPTPP and NAFTA expand market access.
- ▶ NBC benefits from its proximity to the Asia-Pacific region, especially for LNG exports.

Instructor's Example:

- ▶ The potential impact of the U.S.-China trade war on NBC's export sectors (e.g., LNG, forestry).
- ▶ How can NBC diversify its markets to reduce reliance on a few trading partners?

Environmental and Climate Changes

- ▶ Global sustainability trends are reshaping industries like forestry, mining, and energy production.
- ▶ Environmental regulations add costs but can also drive innovation in green technologies.

Instructor's Example:

- ▶ Hydroelectric power in NBC is a response to global sustainability trends.
- ▶ How can NBC balance resource extraction with environmental protection?

Demographic Changes

- ▶ Aging populations in developed countries, including Canada, increase demand for healthcare services.
- ▶ Outmigration of youth from NBC challenges workforce sustainability.

Instructor's Example:

- ▶ Aging populations in urban centers create demand for healthcare, but outmigration from NBC leaves gaps in the workforce.
- ▶ How can NBC retain its youth and attract skilled labor?

Geopolitical Dynamics

- ▶ Regional conflicts, trade wars, and economic sanctions disrupt global trade and influence market access.
- ▶ NBC's dependence on international markets makes it vulnerable to geopolitical changes.

Instructor's Example:

- ▶ Trade tensions between the U.S. and China have affected demand for LNG from NBC.
- ▶ What can NBC do to diversify and reduce reliance on vulnerable markets?

Northern British Columbia's Economic Profile

- ▶ Rich in natural resources: timber, natural gas, minerals.
- ▶ Access to the Asia-Pacific trade route via the Prince Rupert Port.
- ▶ Challenges: Vulnerability to commodity price volatility, aging population, and outmigration.

Instructor's Goal:

- ▶ Explain the region's strengths in natural resources and trade.
- ▶ Discuss challenges like aging demographics and reliance on resource extraction.

Case Study: Prince Rupert Port

Background:

- ▶ Canada's fastest-growing port, connecting to Asia-Pacific markets.
- ▶ Strategic location for growing trade with China, Japan, and South Korea.

Opportunities:

- ▶ Expansion of port facilities increases trade volume.
- ▶ Economic growth through increased export capacity, especially for LNG.

Instructor's Discussion:

- ▶ How can NBC capitalize on its port to expand exports while addressing environmental and sustainability concerns?

Indigenous Perspectives

- ▶ Indigenous communities are key stakeholders in NBC's resource development.
- ▶ Indigenous-led projects, like joint ventures in LNG, provide opportunities for economic empowerment.

Instructor's Example:

- ▶ Wet'suwet'en protests over pipeline construction highlight the complexities of balancing development with Indigenous rights.

Instructor's Discussion:

- ▶ How can NBC incorporate Indigenous perspectives in economic development for long-term sustainability?

Class Discussion Questions

1. What are the key global trends impacting Northern British Columbia?
2. How can NBC balance economic growth with sustainability?
3. What role should Indigenous communities play in NBC's economic development?

Answer to Discussion Question 1

Key Global Trends Impacting NBC:

- ▶ Global trade flows: Trade agreements and global supply chains impact export sectors.
- ▶ Technological advancements: Automation and green technologies shape the resource extraction and manufacturing industries.
- ▶ Geopolitical shifts: Trade tensions, sanctions, and geopolitical conflict can disrupt market access and impact exports.

Instructor's Explanation:

- ▶ NBC's economy is highly dependent on natural resources like LNG and forestry. Global shifts in trade and technological innovation will impact demand and competition in these industries.

Answer to Discussion Question 2

Balancing Economic Growth with Sustainability:

- ▶ Prioritize resource efficiency: Implement green technologies, sustainable mining practices, and eco-friendly policies.
- ▶ Develop new industries: Focus on diversifying into clean energy, technology, and sustainable tourism.
- ▶ Collaborate with local communities: Ensure that development does not harm Indigenous rights and the environment.

Instructor's Explanation:

- ▶ Sustainable development requires balancing short-term economic gains with long-term environmental protection and social equity.

Answer to Discussion Question 3

Role of Indigenous Communities in NBC's Economic Development:

- ▶ Indigenous communities should be key partners in resource development projects.
- ▶ Collaborative models (e.g., joint ventures) empower Indigenous peoples, creating jobs and economic opportunities while respecting their rights.
- ▶ Indigenous knowledge and leadership are essential for sustainable development, especially in environmental conservation.

Instructor's Explanation:

- ▶ Incorporating Indigenous perspectives ensures that economic development respects cultural values and leads to long-term prosperity.

Readings

- ▶ Stiglitz, J. E. (2002). *Globalization and Its Discontents*.
- ▶ Bowles, P., & Wilson, M. (2015). *Resource Communities in a Globalizing Region*.
- ▶ Prince Rupert Port Authority (2023). *Annual Reports*.